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Meta data

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SIEM Cost: Licensed vs. Custom-Built Compared

Meta description
Licensed SIEMs cost $50K–$500K+ per year. Custom-built SIEMs cut long-term spend—but require upfront investment. Find out which model fits your environment.

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How Much Does a SIEM Cost? Licensing vs. Custom-Built

Quick answer: Licensed SIEMs typically cost $50,000–$500,000+ per year, driven by ingestion volume, retention, and feature tiers. Custom-built SIEMs carry higher upfront engineering costs but eliminate per-GB pricing and recurring license fees making them significantly more cost-effective for high-volume or multi-tenant environments at scale.

Key Takeaways

- Licensed SIEMs charge primarily on ingestion volume, retention, and feature tiers costs that compound quickly as data volumes grow.
- Custom-built SIEMs replace recurring license fees with upfront engineering investment, often breaking even within 18–36 months for high-volume environments.
- Hidden costs tuning, professional services, storage overruns, and data egress frequently add 30–50% on top of published SIEM pricing.
- Multi-tenant operators (MSSPs and large enterprises) typically see the strongest ROI from custom-built architectures.
- The right model depends on your data volume, in-house engineering capacity, compliance requirements, and growth trajectory.

Licensed vs. Custom-Built SIEM at a Glance

Factor	Licensed SIEM	Custom-Built SIEM
Upfront cost	Low to moderate	High (engineering investment)
Ongoing cost	High (recurring license + overage)	Low (infrastructure only)
Pricing model	Per GB ingested, per user, or per asset	Infrastructure cost only
Scalability cost	Increases with data volume	Largely fixed after build
Time to deploy	Weeks	Months
Customization	Limited by vendor roadmap	Fully configurable
Multi-tenancy	Add-on or unavailable	Native
Compliance control	Vendor-dependent	Full ownership
Break-even point	N/A	Typically 18–36 months

What Drives SIEM Licensing Costs?

Understanding where licensed SIEM pricing comes from is the first step to evaluating whether the model fits your budget long-term.

Ingestion volume

Most enterprise SIEMs including Splunk, Microsoft Sentinel, and IBM QRadar—price primarily on how much data you send them. Rates typically fall somewhere between $1 and $4 per GB per day, though published rates vary by vendor and contract size. For organizations managing 100 GB/day or more, this line item alone can represent the bulk of total spend.

Retention periods

Standard licensed SIEM plans often include 30 to 90 days of hot storage. Extending retention to meet regulatory requirements NIS2 and DORA both mandate longer log retention windows, as detailed in our NIS2 and DORA compliance guide triggers additional storage tiers that can meaningfully increase annual costs.

Feature tiers

Core detection, SOAR integration, behavioral analytics, and threat intelligence feeds are frequently gated behind higher-tier plans. Teams that start on entry-level licenses often find themselves upgrading once they need SOAR playbook capabilities or advanced correlation. See our SOAR playbooks guide for a breakdown of what's typically included at each tier.

Tenant count

For MSSPs and enterprises managing multiple business units, per-tenant licensing multiplies cost significantly. Most licensed platforms were not architected for true multi-tenancy—each additional tenant often means a separate instance, separate license, and separate overhead. Our multi-tenant SIEM architecture guide covers how this plays out in practice.

What Hidden SIEM Costs Do Teams Overlook?

Published pricing rarely reflects total cost of ownership. Security teams routinely encounter four categories of costs that don't appear in vendor proposals.

Tuning and maintenance. Out-of-the-box SIEM rules generate substantial false positives. Ongoing tuning, adjusting thresholds, refining detection logic, updating parsers—requires dedicated analyst time that most teams don't fully account for during procurement.

Professional services. Initial deployment, integration with existing data sources, and migration from legacy systems typically require vendor professional services or third-party consultants. These engagements frequently range from tens of thousands to six figures depending on environment complexity.

Storage overruns. Ingestion spikes from security incidents, audits, or new data source onboarding can push volume above contracted tiers. Overage charges are billed at rates that are often significantly higher than the base per-GB cost.

Data egress. Cloud-hosted SIEMs charge for data leaving the platform. Teams that export logs for secondary analysis, long-term archiving, or compliance reporting can face egress fees that add meaningfully to annual spend.

Taken together, these hidden costs can add an estimated 30–50% on top of base licensing fees though actual figures vary significantly by environment and vendor.

Licensed SIEM vs. Custom-Built: Which Model Costs Less?

The answer depends almost entirely on data volume and time horizon.

How licensed SIEMs work financially

With a licensed SIEM, you pay from day one. Costs are predictable in structure but variable in practice as your environment grows, so does your bill. The advantage is speed: licensed platforms deploy in weeks and require no upfront engineering investment.

How custom-built SIEMs work financially

A custom-built SIEM requires meaningful engineering investment upfront to design, build, and integrate a purpose-built detection platform. That investment is front-loaded. Ongoing costs are largely infrastructure-based compute, storage, and maintenance rather than per-GB licensing fees. Our custom SIEM and SOAR development services page outlines what this typically involves.

If you're also weighing open-source components as a path to cost control, the tradeoffs differ significantly from a fully custom approach, a comparison we cover in detail in our open-source vs. custom-built SIEM analysis.

Where the break-even point falls

For most high-volume environments, the crossover point where custom-built total cost of ownership falls below licensed SIEM spend typically occurs somewhere between 18 and 36 months. Organizations ingesting under 50 GB/day may not reach break-even quickly enough to justify the build. Those managing 100 GB/day or more, especially MSSPs handling multiple clients generally see a clear financial case within that window.

Who Benefits Most From a Custom-Built SIEM?

Not every organization should build. Custom-built SIEMs deliver the strongest ROI in specific scenarios.

MSSPs managing multiple tenants. Licensing costs multiply with each client on most commercial platforms. A custom-built architecture with native multi-tenancy eliminates per-tenant licensing and enables shared infrastructure. Read more in our MSSP engineering partner services overview.

High-volume enterprise environments. Organizations ingesting hundreds of gigabytes of log data daily face compounding per-GB costs. A fixed-cost infrastructure model becomes increasingly favorable at this scale.

Regulated industries with strict data control requirements. Sectors subject to NIS2, DORA, HIPAA, or similar frameworks often need granular control over data residency, retention architecture, and audit trails control that commercial platforms may not fully provide.

Teams with existing engineering capacity. The custom-built model works best when the organization can own ongoing development and maintenance. Without that capacity, operational costs may erode the financial advantage.

What Real-World Cost Reduction Can You Expect?

Specific figures depend heavily on current spend, data volumes, and environment complexity, any vendor quoting exact percentages without an architecture review should be treated skeptically.

That said, organizations migrating from high-volume licensed SIEM deployments to custom-built architectures commonly report meaningful reductions in annual security operations once the platform reaches steady state. The most significant savings typically come from eliminating per-GB ingestion fees and per-tenant licensing overhead.

For a zero-downtime migration approach, see our SIEM migration guide.

Which SIEM Model Fits Your Situation?

If your situation looks like this...	Consider this model
Under 50 GB/day ingestion, limited engineering resources	Licensed SIEM
Rapid deployment needed (weeks, not months)	Licensed SIEM
Budget is primarily OpEx-driven	Licensed SIEM
100 GB/day+ ingestion with growth trajectory	Custom-built SIEM
Managing 5+ tenants as an MSSP	Custom-built SIEM
Strict data residency or retention control required	Custom-built SIEM
Existing engineering team available for ownership	Custom-built SIEM
Long-term budget certainty is a priority	Custom-built SIEM

The Bottom Line

Licensed SIEMs offer speed and lower upfront cost. For teams early in their security maturity journey, or operating at modest data volumes, that's a legitimate advantage. But the per-GB pricing model creates a structural problem: as your environment scales, so does your bill often faster than your security posture improves.

Custom-built SIEMs require patience and upfront engineering investment. For MSSPs, high-volume enterprises, and organizations in regulated sectors, that investment typically pays off within two to three years, and the cost curve flattens significantly after that.

The honest answer to "which costs less" is: it depends on where you are today and where you're headed. Getting that answer right requires an honest look at your current spend, your growth trajectory, and your internal capacity.

Ready to find out which model fits your environment? Book an Architecture Audit and we'll map out the cost comparison for your specific situation.

Frequently Asked Questions

How much does a licensed SIEM typically cost per year?

Annual licensed SIEM costs vary widely by vendor, data volume, and feature tier. Entry-level deployments for smaller environments can start around $50,000 per year. Large enterprise or MSSP environments with high ingestion volumes can exceed $500,000 annually once storage overruns, professional services, and feature tier upgrades are factored in.

What is the main cost driver for licensed SIEMs?

Ingestion volume measured in gigabytes per day is the primary cost driver for most commercial SIEMs, including Splunk and Microsoft Sentinel. Retention period and feature tier access are secondary drivers that can substantially increase total cost.

How long does it take to build a custom SIEM?

A custom-built SIEM typically takes several months to design, build, integrate, and validate longer for complex multi-tenant environments. This is the primary trade-off against licensed platforms, which can be deployed in weeks.

Is a custom-built SIEM right for small security teams?

Generally, no. Custom-built SIEMs require dedicated engineering capacity to build and maintain. Small teams without that capacity often find that the operational burden offsets the licensing savings. A licensed platform with managed services is typically more appropriate.

What hidden costs should I budget for with a licensed SIEM?

Plan for tuning and analyst time (ongoing), professional services for deployment and migrations, storage overage charges for ingestion spikes, and data egress fees if you export logs for archiving or compliance purposes. These costs can add an estimated 30–50% on top of base licensing fees in some environments.